

US Consumer Lending: Operating Model, Value Chain, and Competitive Strategy

The US consumer lending market — \$17 trillion in outstanding balances across mortgages, auto, cards, personal loans, and BNPL — is undergoing a structural reshaping driven by credit normalization, AI-driven underwriting, network economics, and regulatory flux. The most consequential developments: Capital One's \$35.3B acquisition of Discover closed in May 2025, (Arnold & Porter) (Yahoo Finance) creating the largest US card issuer by outstandings (\$280B) with a proprietary payment network; Wells Fargo's asset cap was lifted in June 2025 (sec) after seven years, freeing \$1.95T in constrained balance sheet; and the CFPB's late fee rule was vacated with prejudice in April 2025, preserving \$10B+ in annual issuer revenue. Meanwhile, credit card balances hit a record **\$1.28 trillion** in Q4 2025, (LendingTree) delinquencies reached post-GFC highs, and the Fed has cut 175 basis points since September 2024 — creating a complex environment where margin expansion coexists with rising credit stress.

This report provides the detailed operating model, product-level value chain, bank-by-bank competitive analysis, business model archetype framework, and forward outlook required to support executive strategy in this market.

AREA 1: The full operating model for consumer lending

A retail bank offering consumer lending end-to-end must execute across 16 distinct activity domains. These range from product design and pricing through to cross-sell and lifetime value management, with total cost structures consuming 55–70% of revenue at well-run operations. The operating model divides into activities that are sources of competitive differentiation — where proprietary capability drives superior risk-adjusted returns — and hygiene activities that are table stakes. Understanding this distinction is critical to strategic resource allocation.

Product design, pricing, and credit policy

Product design and pricing represent the single most important differentiation lever in consumer lending. Banks set APRs using an index-plus-margin framework (Prime or SOFR plus a risk-based spread), with risk tiers defined by internal scorecards and FICO bands. Credit card APRs averaged **22.8%** in Q3 2024 (Fed data), (LanternCredit) with subprime cards reaching 28–30%+. Mortgage pricing is driven by secondary market execution — conforming loans priced to GSE delivery (guarantee fee of 50–70 bps), with FICO-based Loan-Level Price Adjustments (LLPAs) creating **\$165/month differences** on a \$400K loan between a 740+ and sub-680 FICO borrower. (The Mortgage Reports) Credit limits are set dynamically based on income, utilization, behavioral scoring, and bureau data. Pricing committees — typically comprising the CRO, CFO, and head of product — meet monthly to approve rate grids and

exception policies.

Credit policy design defines risk appetite and competitive positioning. FICO cutoffs vary by product: conventional mortgage requires **620+** (FHA 580+), prime credit cards **720+**, subprime cards **580+**. Debt-to-income limits for QM mortgages are capped at **43%** (Fannie Mae allows up to 50% with compensating factors). Income verification ranges from traditional (paystubs, W-2s, IRS 4506-C tax transcripts) to digital (Plaid/Finicity bank account analysis, payroll APIs via Argyle/Pinwheel). Capital One's founding "information-based strategy" — using proprietary ML models and thousands of simultaneous test-and-learn experiments to identify profitable borrowers within lower FICO bands — remains the industry's most cited example of credit policy as competitive moat. (sec) Both product design and credit policy are **in-house** core capabilities.

Marketing, acquisition, and onboarding

Customer acquisition costs vary dramatically by product: mortgage runs **\$500–\$3,000+** fully loaded (including loan officer compensation), credit cards **\$100–\$300**, and personal loans **\$150–\$400**. Channels include direct mail (pre-screened offers under FCRA Section 604(c)(1)(B)), digital (SEO/SEM, display, social — 20–60% lower CAC than offline per McKinsey), (McKinsey & Company) branch referral (highest conversion at 10–20% but most expensive per lead), and partner/embedded channels. JPMorgan Chase spent approximately **\$10.3 billion** on gross marketing in 2024 (product benefits plus acquisition/media), (jpmorganchase) reflecting the scale economics of the largest card franchise. Credit card rejection rates rose to **20.2%** in 2024, (New York Fed) and mortgage rejection to **~21%** (NY Fed), (Bankrate) reflecting tighter credit conditions.

KYC/AML onboarding is hygiene — regulated under CIP (31 CFR 1020.220), requiring name, DOB, address, and SSN verification plus OFAC screening. Vendors include Experian, LexisNexis Risk Solutions, Socure, Alloy (orchestration), (Agora) and Jumio (biometric document verification). (Be Verified) Cost per automated eKYC check runs **\$1–\$5** (enterprises negotiate volume pricing below \$1), with pass rates of **85–95%**. Manual KYC averages \$15 per account. (Fair Capital) Total US bank AML/BSA compliance spending reached **\$61 billion** in 2023, consuming 0.4–2.4% of operating expenses. (Bankingexchange) This is entirely third-party supported with in-house compliance oversight.

Underwriting, decisioning, and fraud prevention

Underwriting splits between automated and manual. Mortgage uses GSE-owned Automated Underwriting Systems — Fannie Mae's Desktop Underwriter (DU) and Freddie Mac's Loan Prospector (LP) — which automate 70–80% of conforming decisions. Credit card and personal loan decisioning is near-instant (single bureau pull, seconds to decision). Key platforms include nCino (commercial/consumer origination), (Zennify) Blend (digital mortgage/consumer), and ICE Mortgage Technology's Encompass (dominant mortgage LOS). (Software Advice) (LinkedIn) Bureau data usage varies: mortgage requires a **tri-merge** (all three bureaus), while cards typically use a single pull. Alternative data (rent, utilities, cash flow via Plaid) is gaining traction for thin-file borrowers, with Upstart's **1,600-variable AI**

model claiming 173% more approvals at comparable loss rates versus FICO alone.

Fraud prevention has shifted from hygiene to a source of differentiation as synthetic identity fraud reached **\$3.2 billion** in lender exposure by mid-2024 (TransUnion), (Dynamis LLP) with Deloitte projecting AI-enabled fraud losses could hit **\$40 billion by 2027**. (Deloitte Insights) (HES FinTech) Synthetic identity fraud on credit applications rose 14% year-over-year since 2020. Tools include Socure, Sardine (device intelligence, behavioral biometrics), BioCatch, and Kount/Equifax. JPMorgan Chase reported **\$1.5 billion saved** through AI-powered fraud detection (Modernize) in 2024. Fraud operations are primarily third-party-supported (Socure, BioCatch, Sardine) orchestrated through platforms like Alloy, but the largest banks increasingly run proprietary ML models.

Origination, funding, and core processing

Loan origination systems are predominantly vendor-supplied: Encompass (ICE Mortgage Technology) dominates mortgage, (Software Advice) with nCino, Temenos, and MeridianLink serving consumer lending. E-signatures (DocuSign, Adobe Sign) are now standard across products. Mortgage closing costs run **\$3,000–\$6,000+** including title insurance (\$1,000–\$3,000) and appraisal (\$400–\$700). Cards and personal loans are fully digital, near-instant.

Banks fund consumer loans primarily through core deposits (cheapest source, averaging **2–3% cost**), supplemented by FHLB advances (25–75 bps above deposits), securitization (agency RMBS for conforming mortgages, ABS for cards/auto/personal), and whole-loan sales. Net interest margin across major banks runs **2.5–3.5%**, with credit card ROA at **3.6%** — one of the highest-returning business lines in financial services. The "Big Three" core processors — Fiserv (40% bank market share), Jack Henry (21%), and FIS (9%) — collectively serve over 70% of US banks (Federal Reserve Bank of Ka... (Kansas City Fed). (Substack) Core banking contracts are multi-year with extremely high switching costs. (Everest Group) Total US bank IT spending runs approximately **\$67 billion annually**, with IT consuming a median **8.1%** of revenue (Gartner 2023). The largest banks (JPM, BofA, Wells) operate proprietary cores.

Servicing, collections, and the back book

Mortgage servicing involves payment collection, escrow management, investor reporting, and loss mitigation. The standard servicing fee is **25 basis points** of unpaid principal balance annually. (Ginniemae) Subservicing costs **\$6.50–\$10 per loan per month**. (MIAC Analytics)

Mortgage Servicing Rights (MSRs) are valued as the NPV of future servicing income (Federal Register) (NMP) at a multiple of **3–5x** the annual servicing fee, and they appreciate when rates rise (slower prepayments), providing a natural hedge (Numerix) to origination revenue. (Richeymay)

Collections operations progress through defined stages. Early-stage (1–30 days past due) uses automated reminders via SMS, email, and app notifications. Mid-stage (30–90 DPD) deploys predictive dialer campaigns and live agents. Late-stage (90–180 DPD) involves intensified contact, settlement offers, and litigation evaluation. Charge-off occurs at 180 DPD.

intensified contact, settlement offers, and litigation evaluation. Charge-off occurs at **180 DPD for credit cards** and **120 DPD for installment loans** per OCC/FFIEC guidance. Post-charge-off, banks sell debt to buyers (Encore Capital/Midland Credit, Portfolio Recovery Associates) at **4-8 cents per dollar** for fresh credit card debt, (CBS News) declining to under 1 cent for aged portfolios. (Thecreditpeople) Outsourced agency contingency fees run **20-35%** of amounts recovered. (Fair Capital) Early-stage collections are in-house; late-stage and post-charge-off are predominantly outsourced.

Risk management, compliance, and reporting

CECL (ASU 2016-13) requires lifetime expected credit loss provisioning at origination, (Federal Reserve) creating greater earnings volatility and higher upfront reserves. Stress testing under DFAST (required for banks above \$100B in assets) and CCAR involves 9-quarter forward projections under severely adverse scenarios. (GARP) Model risk governance under SR 11-7 requires independent validation, challenger models, and comprehensive documentation — large banks maintain teams of **50-200+ model validators**. The risk management function is entirely in-house with vendor tools (Moody's, S&P, SAS).

Compliance infrastructure covers TILA/Reg Z, ECOA/Reg B, FCRA, (Visbanking) UDAP, SCRA, FDCPA, HMDA, and CRA, (Visbanking) consuming **2.9-8.7%** of non-interest expenses (St. Louis Fed). (Fourthline) Regulatory reporting includes FR Y-9C (quarterly holding company report), Call Report (FFIEC 031/041), and HMDA LAR (loan-level mortgage data).

(Consumer Compliance Out...) TD Bank's **\$1.3 billion** AML fine in 2024 — the largest in Treasury/FinCEN history — underscores the material financial risk of compliance failures.

(Fourthline)

Cross-sell, retention, and lifetime value

Cross-sell and retention management represent the highest-leverage differentiation opportunity in the operating model. McKinsey data shows revolvers constitute ~60% of card accounts but generate **85-90%** of issuer net revenue: profit per revolver runs approximately **\$240** versus **\$25** for transactors. Bank of America's Preferred Rewards program (FinanceBuzz) (11.4 million members holding **\$2.0 trillion** in relationship assets, with **99% annualized retention**) demonstrates how integrated loyalty programs create deposit stickiness and cross-product economics that are nearly impossible to replicate. (cloudfront) JPMorgan's connected commerce strategy — leveraging 91 million customers and 27 billion transactions for real-time personalization (jpmorganchase) — illustrates the data-driven approach to lifetime value optimization. This capability is built entirely in-house with CRM and analytics platform support (Salesforce, Pega, SAS).

AREA 2: Consumer lending value chain mapped by product

Mortgage — GSEs control the economic chokepoint

The US mortgage market stands at approximately **\$13 trillion** outstanding with **\$2.0 trillion**

in annual originations (2025), forecast to reach \$2.2 trillion in 2026 per MBA. (MBA) Per-loan

production costs have declined from the \$13,000+ peak to approximately **\$11,600–\$12,000** (MBA) (MBA Q2–Q3 2025 data), with pre-tax production profit averaging a thin **25–33 basis points** (Freddie Mac) — far below the long-term average of 40 bps. MSR portfolios have been the bright spot, with servicing operating income running ~\$90–\$92 per loan per quarter. (MBA) (MBA)

The market has consolidated rapidly: the top 10 originators now hold **43%** of production (January–September 2025), up from 38.5% in 2023. (NMP) Nonbanks dominate — 17 of the top 25 originators are non-bank entities. UWM leads with **\$139.7 billion** (wholesale channel), followed by Rocket Mortgage at **\$97.6 billion** (consumer direct) and PennyMac at **\$82.6 billion** (correspondent). JPMorgan Chase originated \$50.7 billion but is deliberately retreating, while Bank of America holds steady at ~\$30 billion. The channel split runs approximately 50–55% retail/consumer direct, 25–30% wholesale (broker), and 20–25% correspondent.

The **mega chokepoint** in mortgage is the secondary market. Fannie Mae and Freddie Mac (plus Ginnie Mae for government loans) control approximately 70% of origination flow, setting credit box parameters, guarantee fees, and seller/servicer requirements. No viable alternative exists for conforming loans. GSE Automated Underwriting Systems (DU and LP) function as a second chokepoint — they determine eligibility and effectively set underwriting standards for the majority of originations. The title and closing infrastructure represents a third bottleneck, though eClose and Remote Online Notarization (RON) are gradually commoditizing this step.

Where differentiation is emerging: servicing (recapture rates, cross-sell capacity, MSR hedging sophistication) and digital origination experience (Blend's digital POS, Figure's blockchain-enabled 5-minute approvals). Where commoditization is accelerating: application processing, appraisal (AVMs replacing physical inspections), and closing documentation.

Auto finance — the dealer channel duopoly

The US auto lending market reached **\$1.67 trillion** outstanding (Wolf Street) across 108 million open loans by end of 2025, with average loan amounts of **\$43,582** for new vehicles and **\$27,528** for used (Experian Q4 2025). (Experian) Average monthly payments hit **\$767 new** and **\$537 used**. (LendingTree) Approximately **83%** of auto loans originate indirectly through dealers, making the dealer channel the dominant distribution architecture.

RouteOne and DealerTrack constitute the critical infrastructure chokepoint. RouteOne (owned by Ally, Chase, Capital One, and Toyota Financial Services) and DealerTrack (owned by Cox Automotive) together process virtually 100% of indirect dealer credit applications, connecting approximately 20,000+ dealers to 1,100–1,400 lenders. These platforms charge per-transaction fees of **\$1.50–\$5.00 per credit application** and **\$2.50–\$5.00 per funded contract**. (sec) No lender can bypass this duopoly for dealer-indirect originations.

Continue finance companies (GM Financial, Ford Motor Credit, Toyota Financial Services)

Captive finance companies (GM Financial, Ford Motor Credit, Toyota Financial Services) hold ~**19.3%** of total market share ([LendingTree](#)) but dominate new-vehicle financing with ~40%+ share, leveraging manufacturer subsidized rates that can undercut bank pricing by **150-200 basis points**. Banks hold **31.8%** total share, credit unions **22.2%**. ([LendingTree](#)) Delinquency rates reached near-2010 levels: **5.2%** at 90+ DPD in Q4 2025, ([LendingTree](#)) with non-captive monoline finance companies showing **16.6%** at 60+ DPD versus just **1.6%** for banks.

A second chokepoint exists in remarketing: Manheim (Cox Automotive) and ADESA (now Carvana-owned) control the wholesale auction duopoly for repossessed and off-lease vehicles, directly affecting loss severity. Differentiation concentrates in credit decisioning (AI/alternative data models), dealer relationship management, and F&I product attach rates. Servicing and title processing are commoditizing.

Credit cards — where networks extract and issuers compete on rewards

Credit card balances hit a record **\$1.28 trillion** in Q4 2025 (NY Fed), with \$5.42 trillion in total credit limits ([WalletHub](#)) across ~648 million accounts. Annual purchase volume reached **\$6.136 trillion** in 2024 (Nilson Report). ([Yahoo Finance](#)) The average APR stands at **22.30%** for interest-accruing accounts, generating **\$160 billion** in consumer interest charges in 2024.

The revenue model splits roughly **70% interest income** (on revolving balances), **20% interchange** (1.5-3.5% of transaction amount, averaging ~2.1% for credit), and **10% fees** (annual, late, cash advance). ([Federal Reserve](#)) The top five issuers — JPMorgan Chase (\$1.344T purchase volume), American Express (\$1.168T), Citi (\$616B), Capital One (\$610B), and Bank of America (\$502B) — collectively account for **69.1%** of all card spending. ([GlobeNewswire](#))

Visa and Mastercard represent the mega chokepoint, controlling **85%+** of network volume ([Money Crashers](#)) in the US. As open-loop networks, they set interchange rates (collected by issuers), assess network fees (~0.13-0.15% per transaction), and control the authorization/clearing/settlement rails. The Credit Card Competition Act, reintroduced in January 2026 ([lexology](#)) with President Trump's public endorsement, ([Lexology](#)) ([KTS Law](#)) would require large issuers to enable routing on at least two networks — potentially disrupting this duopoly. Capital One's Discover acquisition represents a direct hedge: by owning its own network, Capital One can route transactions on Discover rails, capturing **\$1.2 billion** in projected annual network synergies by 2027 ([Ainvest](#)) and potentially gaining **three-party system** exemption from CCCA routing requirements.

Product design and rewards architecture remain the primary differentiation lever. Chase's Sapphire franchise redefined premium travel cards and drives affluent customer acquisition for cross-sell into deposits and wealth management. Co-brand partnerships (Delta/Amex, United/Chase, Costco/Citi, Walmart/Synchrony) involve complex revenue-sharing of interchange and annual fees, with contracts worth billions in annual economics. Commoditization is advancing in card issuance, transaction processing, and basic billing/collections.

Personal loans — bank charters are the strategic moat

The unsecured personal loan market reached **\$253 billion** outstanding with 29.8 million loans (Q1 2025, TransUnion). [LendingClub](#) New originations surged to **6.3 million** in Q4 2024 (a record, up 26% year-over-year) with \$33.9 billion in new account balances. [LendingClub](#) APRs range from **6-36%**, [Credible](#) with average rates of ~13.2% for 3-year terms. Fintechs captured **48% of new account balances** and 34% of originations in Q4 2024, gaining 8 percentage points of market share year-over-year. [LendingClub](#)

The critical strategic insight in personal lending is that **bank charter ownership is the single biggest economic differentiator**. SoFi and LendingClub, both holding bank charters with FDIC-insured deposits, fund loans at approximately **4.2% cost** versus 6.5%+ for securitization-dependent fintechs — a 200-300 basis point funding advantage that fundamentally alters unit economics. SoFi originated **\$5.2 billion** in personal loans in Q4 2025 alone (up 23% year-over-year) with a charge-off rate of **2.80%** (down 50 bps) and NIM of **5.8%**, demonstrating the power of deposit-funded lending.

Lead generation aggregators (LendingTree, Credit Karma/Intuit, NerdWallet, Bankrate) constitute the primary chokepoint, controlling consumer intent data and extracting **\$20-\$100+** per qualified lead. Online inquiry volumes rose 42% year-over-year in March 2025. [LendingClub](#) AI underwriting (Upstart's 1,600-variable model) represents the key area of differentiation, [NBER](#) though rising delinquencies (Upstart's 60+ DPD climbed to 5.8%) raise questions about the credit box expansion.

HELOC — a \$11.5 trillion tappable equity opportunity barely touched

American homeowners sit on approximately **\$11.5-\$17.8 trillion** in tappable equity (ICE Mortgage Technology), [ICE Mortgage Technology](#) yet the utilization rate stands at just **0.41%** [CMP](#) — representing one of the most under-penetrated opportunities in consumer lending. HELOCs comprise **69%** of home equity lending (2024), [Mordor Intelligence](#) with HELoans (closed-end seconds) at 31%. Origination growth reached 7.2% in 2024 [Market Research Future](#) with continued acceleration.

When JPMorgan and Wells Fargo pulled back from HELOCs in 2020-2023, regional banks and fintechs filled the void. Citizens Financial Group became a volume leader, while **Figure Technologies** emerged as the largest nonbank HELOC source (\$12.5 billion funded) with [Mordor Intelligence](#) blockchain-based infrastructure enabling sub-50 basis point fulfillment costs and 5-minute approvals. [Mordor Intelligence](#) JPMorgan returned to the market in 2025 [The Financial Brand](#) with a new model requiring mandatory draw-down. Wells Fargo expanded its Home Equity Access Line in January 2024. [Technavio](#)

The key structural challenge is balance sheet intensity: most HELOCs are held on-balance-sheet with no GSE secondary market equivalent. Angel Oak brought the **first standalone HELOC securitization** in 2025, validating nascent secondary market development.

[Mordor Intelligence](#) Title/lien infrastructure remains a chokepoint — subordination agreements and manual lien position verification create friction. Differentiation is concentrated in digital application speed, AVM-driven appraisal alternatives, and draw-period management.

BNPL — merchant economics sustain despite regulatory retreat

US BNPL spending reached **\$122.3 billion** in 2025, growing at 20.3% CAGR (2021–2024),

[Business Wire](#) [Business Wire](#) though representing just ~1.1% of total credit card spending.

[Federal Reserve Bank of Ri...](#) Five companies control **95%+** of the market: Klarna (IPO'd September 2025 at \$15–\$20B valuation; \$105B global GMV), Affirm (\$36.7B GMV, achieved first quarterly profit), Afterpay/Block (~\$20B+), PayPal Pay Later (\$33B global volume), and Sezzle/Zip. Apple discontinued Apple Pay Later in June 2024, replacing it with an Affirm integration — a significant signal that even Apple chose partnership over in-house credit risk.

The business model splits between **merchant-funded** (pay-in-4, 0% consumer interest, merchant pays 2–8% MDR averaging 4–6%) and **consumer-paid** (longer-term 6–36 month installments bearing interest). [Business Model](#) [Apptunix](#) Merchant fees comprise ~80% of revenue, consumer fees ~13.4%, and late fees ~6.9%. Loss rates average approximately 2% (CFPB 2019–2022 data), though late payment rates have risen to **24–41%** of users depending on survey methodology. [Chargeflow](#)

Federal regulation retreated sharply: the CFPB's May 2024 interpretive rule classifying BNPL as credit cards under TILA [Business Wire](#) was **rescinded in May 2025** [Payments Dive](#) by the Trump-era CFPB. [Cfsreview](#) [Consumer Finance Monitor](#) However, state-level regulation is emerging — New York signed the **Buy-Now-Pay-Later Act** in May 2025 [NatLawReview](#) (first comprehensive state BNPL licensing law), [Consumer Finance Monitor](#) and California has classified BNPL as loans requiring licensing since 2020. Bank-as-lender partners (Cross River Bank for Affirm, WebBank for Klarna) face ongoing "true lender" scrutiny. Merchant integration and checkout placement remain the primary differentiation lever; basic pay-in-4 is now commoditized.

AREA 3: Bank-by-bank consumer lending strategy

JPMorgan Chase CCB — the \$71.5 billion revenue machine

JPMorgan Chase's Consumer & Community Banking segment generated **\$71.5 billion** in revenue and **\$17.6 billion** in net income in FY2024, earning a **32% ROE** [jpmorganchase](#) on approximately \$54.5 billion in allocated equity. The segment's through-cycle ROE target is 25%+. What drives this exceptional profitability is the combination of a dominant deposit franchise (\$1,064 billion average deposits at 2.66% margin), [jpmorganchase](#) the **#1 US card franchise** (17.3% outstandings share, \$214 billion average card outstandings, [jpmorganchase](#) card net revenue rate of ~9.8%), near-zero credit costs in home lending (negative NCO rate of -0.07% [sec](#) on average FICO 774 portfolio), [sec](#) and massive operating leverage across ~4,970 branches and 71 million digital active customers. [jpmorganchase](#)

The Chase Sapphire franchise — Sapphire Reserve (\$550+ annual fee, recently refreshed to \$800 with enhanced travel benefits including proprietary Chase Sapphire Lounges)

[Chase Credit Cards](#) and Sapphire Preferred (\$95) — redefined premium consumer banking

[Chase Credit Cards](#) and Sapphire Preferred (\$95) — redeemed premium consumer banking. Chase acquired approximately **10 million new card accounts** in 2024, achieving **98% account retention** and **60%+ top-of-wallet share**. [jpmorganchase](#) The Freedom/Freedom Unlimited cards serve as mass-market feeders into the Sapphire ecosystem, and Freedom Rise targets credit builders with 80+ NPS.

JPM's deliberate retreat from mortgage (originations down from \$180B+ peak to ~\$38-40 billion annualized; exited correspondent channel, sold MSRs) reflects capital allocation discipline — deploying balance sheet toward cards and wealth where ROE is multiples higher than mortgage banking. The First Republic acquisition added ~\$91 billion in jumbo home loans and affluent customer relationships, [Yahoo Finance](#) now integrated into the "J.P. Morgan Private Client" tier across 22 financial center locations. Chase Auto runs \$84.9 billion in loans [sec](#) with auto NCOs of just 0.59%.

Technology investment runs **\$17 billion** firmwide [eFinancialCareers +3](#) (\$18B in 2025), [Operatingbyjohnbrewton](#) [Constellation Research](#) with CCB alone spending ~\$8.5-\$9 billion on technology and product. JPM dedicated **\$1.3 billion** specifically to AI in 2024, [Klover](#) with AI-delivered business value growing 30-40% annually to reach **\$2 billion** by 2025.

[Operatingbyjohnbrewton](#) The bank has 65% of workloads on public/private cloud, [Constellation Research](#) [eMarketer](#) with 90% of analytical data in public cloud. JPM's scale data asset — 91M+ customers, 27B+ transactions, 373B+ digital interactions — creates a personalization and credit decisioning moat that is exceptionally difficult to replicate.

[jpmorganchase](#)

Bank of America — Preferred Rewards as an ecosystem moat

Bank of America's Consumer Banking segment generated **\$43.7 billion** in revenue [AlphaSense](#) and **\$12.2 billion** in net income in FY2025 [Bank of America](#) (up 14% year-over-year), earning a **28% return on allocated capital** [AlphaSense](#) (improving to 30% in Q4 2025). The Preferred Rewards program — **11.4 million members** holding **\$2.0 trillion** in relationship assets with **99% annualized retention** and **94% primacy** — represents arguably the strongest loyalty flywheel in US consumer banking. Members exhibit 3x higher card spend, 3x investment assets, and 25% higher card take-up versus non-members, with 14-year average client tenure. Expected client value runs approximately **\$1,125 per year**. [cloudfront](#)

In May 2026, BofA transitions to the expanded "BofA Rewards" program, extending eligibility to all personal checking account holders [The Financial Brand](#) — an estimated **30 million additional eligible customers**. [The Financial Brand](#) The new entry "Member" tier requires no minimum balance, [Bank of America](#) while higher tiers offer reduced (but still substantial) card rewards bonuses. The strategic intent is to increase card penetration from 71% to 80% of credit-eligible checking clients.

BofA's digital leadership is substantiated by metrics: **49 million** active digital banking users, [bankofamerica](#) [cloudfront](#) 26-30 billion digital interactions annually, and **69% of total sales** digitally enabled. [bankofamerica](#) The Erica AI assistant has surpassed **3.2 billion** cumulative interactions, averaging 58 million+ interactions per month, [Fortune](#) [Bank of America](#) with **98%** of clients finding answers [The Financial Brand](#) within 44-48 seconds. Erica handles 700+ intent

of clients finding answers (The Financial Brand) within 44-46 seconds. Erica handles 700+ intent types, (CX Dive) (The Financial Brand) reducing live chat volume by 42% on the CashPro corporate platform. (The Financial Brand) Crucially, BofA uses deterministic AI (not generative) for Erica, prioritizing reliability over novelty. (CX Dive)

BofA's card portfolio (\$103 billion average outstandings in FY2025, risk-adjusted margin 7.0-7.2%) is smaller than Chase's but benefits from the Preferred Rewards amplifier effect. The bank holds the **#1 home equity portfolio** and **#4 auto portfolio** (average vehicle lending \$57 billion, average origination FICO 801, NCO 0.40%). (cloudfront) The integrated model linking Consumer Banking → Merrill Edge (4.1M investment accounts) → Merrill Wealth Management → Private Bank generates 90,000+ annual client introductions across wealth and consumer, with consumer investment assets of \$580 billion (Bank of America) targeting \$1 trillion medium-term. (cloudfront)

Wells Fargo — seven years of constraint, now unleashed

Wells Fargo's consumer lending story is defined by the **\$1.95 trillion asset cap** imposed by the Federal Reserve in February 2018 and **lifted on June 3, 2025** (sec) — after seven years that fundamentally reshaped the bank's portfolio. The full 2018 enforcement action was **terminated on March 5, 2026**. (Cefpro) Under the cap, Wells Fargo shed assets relentlessly: exited correspondent mortgage, sold MSRs, reduced personal lending, slowed auto for years, and turned away deposits. Total average consumer loans declined from \$548 billion (Q4 2023) to \$528 billion (Q4 2024). (wellsfargo)

CEO Charlie Scharf (joined October 2019) (sec) executed arguably the most aggressive operational transformation in recent US banking history. Headcount fell from ~**275,000** to ~**205,000** (The Financial Brand) (24% reduction over six years), with gross expense reductions of **\$15 billion** over five years. (sec) The efficiency ratio improved from ~80% at the 2020 nadir toward a sub-60% target by late 2026. (FinancialContent) Firmwide ROTCE reached **15.0%** in FY2025 (new medium-term target: 17-18%), (sec) with total assets growing to ~\$2.15 trillion post-cap removal. (American Banker)

The **mortgage retreat** was the most visible strategic shift. Wells Fargo was the #1 US mortgage originator; it exited correspondent lending entirely in 2022-2023, sold MSRs aggressively (carrying value down from \$9.8 billion to declining further), reduced home lending headcount by 50%+, (AlphaSense) and trimmed servicing by **\$90 billion in 2025 alone**. (AlphaSense) Current retail-only origination runs approximately \$5-7 billion per quarter. Home lending revenue declined 6% in FY2025 (AlphaSense) as servicing runoff continues.

The **auto re-engagement** is the clearest growth story. Q4 2024 originations of **\$5.0 billion** (wellsfargo) represented 52% year-over-year growth, and by Q4 2025, auto originations **more than doubled to \$10.2 billion** (American Banker) — with auto loan balances up 19% year-over-year. (AlphaSense) Wells Fargo became the preferred financing provider for Volkswagen and Audi brands in the US. (AlphaSense) The **credit card refresh** (Active Cash 2% flat, (The Motley Fool) Autograph 3x on 6 categories, (Upgraded Points) Autograph Journey premium travel card) (Upgraded Points) drove 20%+ new account growth (sec) and 6% balance growth in 2025, with card POS volume reaching \$49.7 billion in Q4 2025 (+10% (American Banker) year-over-year)

card fees volume reaching **\$13.7 billion** in Q1 2025 (+18% [\(American Banker\)](#) year-over-year). Recruited Kleber Santos (ex-Capital One) as CEO of Consumer Lending in 2022.

Capital One — network ownership changes the competitive calculus

Capital One's \$35.3 billion acquisition of Discover Financial Services [\(Berkeley\)](#) — closed May 18, 2025 [\(Arnold & Porter\)](#) after receiving all regulatory approvals [\(Yahoo Finance\)](#) [\(sec\)](#) — created the **largest US credit card issuer by outstanding balances** at **\$279.6 billion** (Q4 2025), [\(businesswire\)](#) surpassing JPMorgan Chase. Total assets reached **\$669 billion**, [\(businesswire\)](#) [\(sec\)](#) making Capital One the 8th-largest insured depository. The strategic rationale rests on three pillars: Discover's ~\$103 billion card portfolio (skewing more prime than Capital One's existing book), the Discover/PULSE payment networks, and projected synergies of **\$2.7 billion annually by 2027** (\$1.5 billion expense, \$1.2 billion network).

Network ownership is the transformative element. Capital One can route its card transactions on Discover rails instead of paying Visa/Mastercard network fees — estimated at billions annually. For debit, migrating Capital One debit cards to PULSE/Discover creates a three-party network operator **exempt from Durbin Amendment interchange caps**, generating an estimated **\$1 billion+** in incremental debit interchange revenue. The combined entity's ROIC is projected at **16% by 2027** with internal rate of return exceeding 20%.

Capital One's proprietary credit model — founded on Rich Fairbank's "information-based strategy" of mass-customized risk pricing via ML and continuous test-and-learn experiments — enables the bank to profitably serve near-prime/subprime segments (approximately **32% of pre-merger card loans** below FICO 660). This produces structurally higher APRs (~19–20%+ yield on card portfolio) and higher losses (domestic card NCO rate **4.63%** in Q3 2025) but extraordinary NIM: **8.26%** in Q4 2025. Capital One was the first major US bank to exit all data centers and go fully cloud-native on AWS (completed 2020), with 12,000+ technology associates (85%+ engineers) and the Capital One Software subsidiary commercializing enterprise cloud management tools.

In January 2026, Capital One announced a **\$5.15 billion acquisition of Brex**, further expanding into corporate card and spend management.

Citi USPB — partnership-dependent returns improving dramatically

Citigroup's US Personal Banking segment generated **\$20.4 billion** in revenue in FY2024, structured across Branded Cards (\$10.7 billion, including Costco and American Airlines co-brands), Retail Services (\$7.1 billion, including Home Depot, Best Buy, Macy's private label/co-brand), and Retail Banking (\$2.6 billion). The segment's **5.5% RoTCE** in FY2024 represented the clearest performance gap versus peers — but **dramatically improved to mid-teens (~13.2%)** in FY2025, with Q4 2025 reaching 14.3%.

The low-return drag stemmed from excess capital allocation (\$25 billion average TCE, up 15% year-over-year), elevated credit losses (\$8.6 billion in FY2024 credit costs, with Retail Services NCL rate hitting **6.28%**), a small branch footprint (just 642 branches versus JPM's 4,970 and BofA's 3,650), and structural negative non-interest revenue (-\$729 million in FY2024, due to card rewards and net interest payments exceeding interchange). The rapid

FY 2024 due to card rewards and partner payments exceeding interchange). The rapid improvement in 2025 reflects credit normalization (NCLs peaked), continued revenue growth, and operating leverage.

Citi's co-brand portfolio creates both scale and binary risk. The bank will become **exclusive American Airlines card issuer** in 2026, acquiring Barclays' portfolio — a major win consolidating a split arrangement. However, Costco and AA together represent concentrated partnership dependency where contract loss would be devastating. Retail Services' 6.28% NCL rate reflects the structurally weaker credit profiles of private-label cardholders.

The Banamex divestiture is advancing: Citi sold a 25% stake to Fernando Chico Pardo in December 2025 (~\$2.3B) and agreed to sell an additional 24% to a Blackstone-led consortium in January 2026 (~\$2.5B), with IPO planned for further deconsolidation. The ~\$9 billion in accumulated CTA losses to be recognized upon full deconsolidation remains a significant book-value risk.

Ally Financial — digital auto pureplay after strategic pruning

Ally Financial represents the purest digital-only auto lending model among large US banks. With **zero branches**, 3.5 million primary deposit customers, and **\$144 billion** in retail deposits, Ally achieves an adjusted efficiency ratio of **50.8%** (Q4 2025) — significantly better than traditional large banks. Consumer auto originations reached a record **\$43.7 billion** in FY2025 from 15.5 million applications, with originated yield of **9.7%** and NCO rates declining to sub-2% as the problematic 2022 vintage cohort shrank. Ally maintains **7,000** US and Canadian dealer relationships.

The bank's strategic sharpening in 2025 was decisive: Ally **exited credit cards** (selling the \$2.3B portfolio to CardWorks/Merrick Bank after NCO rates hit **10%**) and **ceased mortgage originations** (winding down the ~\$16B portfolio yielding just ~3.1% versus 9%+ auto yields). CEO Michael Rhodes framed this as the "power of focus." The card exit freed ~\$3.7 billion in excess capital and removed a 20 bps NIM drag. Corporate finance (30–37% ROE, 100% first-lien, zero commercial credit losses in 2024–2025) and dealer insurance products (4 million active policies, record \$1.5 billion premiums) provide diversification.

Ally's deposit cost of **3.38%** (Q4 2025) is declining rapidly (down 63 bps year-over-year) as \$38 billion in CDs reprice, but remains substantially above megabank deposit costs (JPM ~2.66%, BofA ~2.1%). This structural deposit cost disadvantage — the price of being a digital-only bank competing on rate — limits NIM expansion.

Discover Financial — the network asset Capital One acquired

Discover's value to Capital One centers on its network assets. The Discover Network reached **99% US merchant acceptance** (matching Visa/MC), with 60+ million merchants globally and 30+ network alliance partnerships. The PULSE debit network processes ~\$63–79 billion quarterly. As a three-party system (issuer + network), Discover captured both margins on its own transactions, producing an extraordinary **11.38% NIM** in Q3 2024 (card yield of 16.23%). The direct-to-consumer model (zero branches, no co-brand partnerships) generated high

customer satisfaction and low-cost rewards (cashback at just ~**1.37%** of volume versus 2-3%+ for premium travel programs). Discover's student loan portfolio was sold in Q4 2024 as a pre-merger simplification.

PNC, U.S. Bancorp, and Truist — the super-regional strategies

PNC Financial (\$564B assets) integrated BBVA USA rapidly post-2021 acquisition, expanding to 29 of the top 30 US markets. LowCash Mode — giving customers 24+ hours to cover overdraft shortfalls — saved customers **\$125-\$150 million** annually in overdraft fees and positioned PNC favorably with regulators. Consumer loans of ~\$100 billion are conservatively underwritten (NCO rate just **0.33%**, lowest among super-regionals), with card/cash management fees of ~\$2.8 billion annually. The efficiency ratio of 63% suggests improvement potential.

U.S. Bancorp (\$686B assets) completed MUFG Union Bank integration, moving California deposit share from **#10 to #5**. USB's differentiation is its payments ecosystem: **Elavon** (5th-largest US merchant acquirer, 1.3M+ merchants, \$1.66B revenue) creates a banking + payments flywheel unique among super-regionals. Card revenue of **\$1.63 billion** (growing 8.8% year-over-year in cards) and an adjusted ROTCE of **17.2%** (highest among super-regionals) reflect operating leverage from payments scale. The Avvance POS BNPL product embeds lending into the merchant acquiring relationship.

Truist Financial (\$527B assets) completed BB&T/SunTrust integration after a challenging multi-year process that included a **\$6.1 billion goodwill impairment** in Q4 2023. The sale of Truist Insurance Holdings to Stone Point/CD&R for **\$15.5 billion** (May 2024) transformed Truist into a pure-play bank, increasing CET1 by ~230 bps and tangible book value per share by 33%. LightStream — the online unsecured consumer lending platform inherited from SunTrust — serves super-prime borrowers with rates competitive with SoFi and Marcus, loan amounts up to \$100,000, and same-day funding with no origination fees. Truist's adjusted efficiency ratio of **56.3%** is the best among super-regionals, and the bank opened **730,000+ new digital loan and deposit accounts** in 2024.

AREA 4: Five business model archetypes in US consumer lending

Based on the bank-by-bank analysis, five distinct business model archetypes emerge in US consumer lending, each with different economic profiles, strategic positioning, and resilience characteristics.

The universal bank integrator

Exemplified by: JPMorgan Chase, Bank of America, Wells Fargo

This archetype leverages a massive branch network, deposit franchise, and multi-product platform to generate superior economics through relationship density and cross-sell. JPM's 32% CCB ROE demonstrates the model at peak performance — cheap deposits funding high-

yield cards, wealth management cross-sell creating customer stickiness, and data scale enabling personalization. The Preferred Rewards/BofA Rewards model shows how loyalty programs can lock in \$2 trillion in relationship assets with 99% retention.

Economics: ROE **25–32%**, NIM **2.5–3.0%** (but with card yield of 9–10%), credit loss rates **0.5–1.0%** blended across products (3.3–3.6% on cards alone), efficiency ratios **50–66%**. These banks earn their premium returns on the deposit funding advantage — JPM and BofA fund cards at deposit costs of 2.1–2.7% against card yields of 20%+, creating spreads unavailable to non-deposit-funded issuers.

Resilience: Highest — diversified revenue streams, lowest funding costs, regulatory moats (branch networks, compliance infrastructure), and sufficient scale to absorb regulatory shocks. Most resilient in elevated-rate environments where deposit franchises generate excess NII.

The card monoline with network ambitions

Exemplified by: Capital One (post-Discover), Discover (pre-merger), American Express

This archetype concentrates on credit card lending with proprietary underwriting technology and, increasingly, network ownership. Capital One's combined entity represents the purest expression: the largest card issuer by outstandings (\$280B) with its own payment network, cloud-native infrastructure, and information-based risk pricing enabling profitable sub-prime lending.

Economics: NIM **7.8–11.4%** (dramatically higher than universal banks due to card portfolio concentration), NCO rates **3.6–4.8%** (reflecting near-prime exposure), efficiency ratios **52–60%** adjusted, ROE **12–18%**. Revenue yield on card portfolios runs 16–20%+. The network ownership premium (estimated \$1.2B+ annually for Capital One) represents a new economic dimension unavailable to pure issuers.

Resilience: High for near-term revenue (cards are sticky, high-yield), but elevated credit risk in downturns. Near-prime portfolios amplify losses in recession — Capital One's card NCO guidance of 3.6–3.9% for 2026 already exceeds historical norms. Network ownership provides structural hedge against interchange regulation (CCCA).

The digital disruptor with bank charter

Exemplified by: Ally Financial, SoFi, LendingClub

This archetype combines digital-only distribution (zero branches) with bank charter advantages (FDIC-insured deposits, direct Fed access) to achieve superior cost structures. Ally's adjusted 50.8% efficiency ratio reflects branch-cost elimination, while SoFi's 5.8% NIM demonstrates how deposit-funded fintech lending generates margins competitive with traditional banks.

Economics: Efficiency ratios **50–55%** adjusted (best-in-class), but deposit costs **3.4–4.0%** (200+ bps above megabanks due to rate competition), auto portfolio NCO **1.5–2.0%**, card NCO prohibitively high (Ally's 10% exit demonstrates risks of credit product expansion)

NCO prohibitively high (Ally's 10% exit demonstrates risks of credit product expansion).
ROE **6-11%** — constrained by higher deposit costs and narrower product breadth.

Resilience: Moderate — cost advantages are real but offset by deposit cost pressure and limited cross-sell capacity. In rate-cutting cycles, these banks benefit from deposit repricing but face competition as megabanks narrow their rate disadvantage. Product concentration risk is material (Ally's 70%+ revenue from auto).

The relationship deposit lender

Exemplified by: PNC, U.S. Bancorp, Truist, community banks

This archetype builds consumer lending around a core checking/deposit relationship, leveraging geographic density and local market knowledge. PNC's LowCash Mode, USB's payments ecosystem (Elavon), and Truist's LightStream platform each represent differentiated hooks in an otherwise scale-disadvantaged model versus the megabanks.

Economics: NIM **2.7-3.1%**, NCO rates **0.33-0.59%** (most conservative underwriting), efficiency ratios **56-63%**, ROTCE **13-17%**. Mortgage servicing (Truist services **\$213 billion** for others) and payments (USB's Elavon generates \$1.66B) provide fee income diversification. Card businesses are subscale relative to monolines.

Resilience: Moderate to high — conservative credit culture limits downside, but scale disadvantage constrains technology investment (\$3-5B versus JPM's \$17B). Post-acquisition integration risk is meaningful (Truist's \$6.1B goodwill impairment). Geographic concentration in Southeast (Truist) or Midwest (PNC) creates regional economic sensitivity.

The captive and embedded lender

Exemplified by: GM Financial, Ford Motor Credit, Toyota Financial, Synchrony, BNPL providers (Affirm, Klarna)

This archetype originates lending at the point of sale through captive relationships (OEM dealer networks) or embedded merchant integrations. Captive finance companies subsidize rates by 150-200 bps using manufacturer incentives, creating pricing advantages banks cannot match. BNPL providers extract 2-8% merchant discount rates justified by conversion lift and AOV increases.

Economics: Highly variable — captive auto lenders earn thin margins subsidized by manufacturer marketing budgets; BNPL providers operate at **negative-to-thin margins** (Affirm achieved first quarterly profit only in 2025); Synchrony's private-label cards generate high yields but elevated losses (6%+ NCO). Funding costs are structurally higher than deposit-funded banks (securitization, warehouse lines). Revenue per relationship is typically single-product.

Resilience: Low to moderate — dependent on single-channel distribution (dealer network or merchant integration), vulnerable to regulatory pressure (BNPL state licensing, CFPB), and lacking deposit franchise stability. In credit downturns, non-bank funding markets can seize.

However, point-of-sale integration creates distribution advantages that are difficult to replicate.

Which archetypes are most resilient today

In the current environment of elevated rates, credit normalization, regulatory pressure on interchange, and AI-driven disruption, the **universal bank integrator** is most resilient — diversified revenue, cheapest funding, data scale, and regulatory moats provide structural advantages. The **card monoline with network** archetype is second, particularly post-Discover acquisition, where network ownership hedges interchange regulation risk and proprietary credit models enable through-cycle profitability in higher-loss segments.

The most vulnerable archetype is the **captive/embedded lender**, where funding instability, single-product dependency, and emerging regulation create compounding risks. The **digital disruptor** archetype faces a strategic crossroads: those that have secured bank charters (SoFi, LendingClub) are building sustainable models, while those dependent on marketplace or rent-a-charter funding face existential questions as bank partners face regulatory scrutiny.

AREA 5: Pressures and forward outlook, 2025–2027

The Credit Card Competition Act has real momentum

The CCCA was reintroduced on January 13, 2026 with unprecedented political alignment: bipartisan Senate/House sponsors and **President Trump's public endorsement** ("swipe fees are an out of control ripoff"). The bill would require large issuers (>\$100B assets) to enable routing on at least two unaffiliated networks, with at least one not being Visa or Mastercard. US bank interchange revenue totals **\$111.2 billion** annually; the NRF estimates **\$15 billion** in savings if the bill passes.

The Durbin Amendment debit precedent is instructive but cautionary. Implemented in 2011, it capped debit interchange at \$0.21 + 0.05% (from ~\$0.44 average), costing covered banks **\$6.5–\$9.4 billion** annually. Did merchants pass savings to consumers? **No**. A 2026 Progressive Policy Institute report by Robert Shapiro — who had originally predicted consumer benefits — concluded the policy "did not lower retail prices and ultimately left many working Americans worse off." Banks offset losses by eliminating free checking (from 60% to 20% of accounts), doubling average checking fees (\$4.34 to \$7.44/month), and cutting debit rewards.

Capital One's Discover acquisition functions as a direct hedge: network ownership allows routing on Discover rails, and as a three-party system, the combined entity may qualify for CCCA exemptions. However, Visa/MC-branded Capital One cards would still require a second network under the bill. The most exposed institutions are JPMorgan Chase, Bank of America, Citigroup, and Wells Fargo — which lack proprietary network alternatives.

The CFPB late fee rule is dead; other regulatory pressures are shifting

The CFPB's \$8 late fee cap — finalized March 2024, which would have eliminated **\$10+ billion** in annual issuer revenue — was **vacated with prejudice** in April 2025 after the Trump-era CFPB filed a joint motion with plaintiffs agreeing the rule was unlawful. The \$30/\$41 safe harbor remains intact. Capital One, Synchrony, and Discover (higher late fee reliance in near-prime portfolios) were the most exposed.

Basel III Endgame underwent a remarkable reversal. The original July 2023 proposal (19% aggregate increase in capital requirements) was effectively killed by industry opposition. On **March 19, 2026**, the Fed, OCC, and FDIC issued three re-proposals that are expected to **modestly decrease** overall capital in the banking system — a stark reversal from the original increases. The GSIB surcharge is being recalibrated downward, and Oliver Wyman estimates GSIBs could accumulate **\$650–\$750 billion in excess capital** over four years. This capital release could significantly increase consumer lending capacity, particularly in card lending (where revolving exposures carry **150% risk weights** under the standardized approach). Comments are due June 18, 2026.

Section 1033 (open banking) is under complete overhaul. The CFPB declared its own October 2024 rule "unlawful" in May 2025, then reversed to pursue accelerated new rulemaking. An August 2025 ANPRM asked whether data providers can **charge fees** for data access (the original rule prohibited fees) — a major win for banks. JPMorgan has already begun charging Plaid for data access, setting market precedent. Open banking implementation is now likely **delayed to 2027–2028**, paradoxically strengthening large banks' data moats versus fintechs.

AI deployment is accelerating across the lending lifecycle

AI is moving from experimentation to production across consumer lending. JPMorgan Chase has **450 AI use cases** projected to double to 1,000 by end of 2026, with AI-delivered business value reaching **\$2 billion annually** by 2025. Bank of America's Erica handles **58 million+ interactions monthly**, solving 98% of inquiries without human escalation — equivalent to **11,000 staffers' daily work**. BofA and Capital One together own **over 70% of all AI patents** filed by banking companies since 2010.

In underwriting, Zest AI (used by Citibank, Freddie Mac) claims **25% more loan approvals** at lower rates without increased defaults. In fraud detection, **90% of financial institutions** now use AI (Feedzai 2025), with JPM saving \$1.5 billion annually through AI-powered fraud detection. In servicing, BofA's Erica reduced IT service desk calls by 50%. In collections, propensity-to-pay models optimize contact timing, channel, and settlement offers.

Regulatory constraints on AI lending remain limited. No specific federal AI regulations govern US banking, and the Trump executive order in April 2025 **eliminated disparate impact theory** from federal enforcement — reducing fair lending risk for ML models. However, SR 11-7 model risk management requirements still demand explainability (LIME, SHAP techniques), and the GAO reported in May 2025 that regulators are expanding their own AI usage in supervision.

Interest rates are reshaping product economics unevenly

The Fed has cut **175 basis points** since September 2024, with the fed funds rate at **3.50–3.75%** as of March 2026. The March 2026 SEP projects one additional cut in 2026 and one in 2027. Industry-wide NIM reached **3.39%** in Q4 2025 — the highest since 2019 — as deposit costs fell faster than loan yields. Full-year 2025 bank net income hit **\$295.6 billion** (up 10.2%, FDIC), with ROA of 1.20%.

The impact is product-specific. **Credit cards** (variable rate, Prime + margin) reprice immediately with rate cuts, compressing yields by ~175 bps already — though elevated revolving balances have partially offset the NII impact. **Mortgage originations** are recovering to **\$2.0–\$2.2 trillion** in 2025–2026 (MBA), but with 30-year rates expected at **6.0–6.5%** throughout 2026, no broad refinance wave is anticipated. **HELOCs** (tied directly to Prime) see immediate yield compression with each cut — partially offset by volume growth as homeowners tap \$11.5T+ in equity. **Auto** benefits from improved affordability, supporting volume growth (Ally saw record \$43.7B originations in 2025).

The critical dynamic: **fixed-rate assets originated when rates were lower** are repricing higher as they mature and are replaced by current-market-rate originations, while variable-rate funding costs decline — creating a favorable NIM tailwind through early-to-mid 2026. The risk scenario is accelerated cuts beyond expectations compressing card yields faster than deposit costs decline.

Conclusion: Strategic implications for repositioning in US consumer lending

The research points to five non-obvious strategic conclusions that diverge from consensus thinking.

First, **network ownership has become the most valuable strategic asset in cards** — more valuable than portfolio scale, underwriting sophistication, or rewards design. Capital One's Discover acquisition proves this thesis: the \$1.2 billion in annual network synergies plus Durbin Amendment exemption on debit creates economic advantages that pure-issuer competitors cannot replicate, regardless of their technology investment. Any bank seeking to grow in cards without network access faces structurally inferior unit economics versus Capital One-Discover and Amex.

Second, **the deposit franchise advantage is widening, not narrowing**. Digital-only banks (Ally at 3.38% deposit cost) pay **100–130 basis points more** for deposits than megabanks (JPM at 2.66%, BofA at ~2.1%). Open banking delays (Section 1033 pushed to 2027–2028) and JPM's decision to charge for data access strengthen incumbent data moats. The thesis that digital banks would erode megabank deposit advantages has not materialized at scale.

Third, **AI is creating a new axis of competitive separation** in underwriting and servicing — but only for the 3–4 banks investing at sufficient scale. JPM (\$17B+ tech spend, \$1.3B dedicated AI), BofA (\$13B tech, 70%+ of banking AI patents), and Capital One (cloud-native,

12,000+ engineers) are pulling away. Banks spending \$3–5 billion on technology cannot match this investment intensity, creating a durable capability gap in personalization, fraud detection, and operational automation.

Fourth, **the regulatory environment has shifted from tightening to loosening** in ways that disproportionately benefit large incumbent banks. Late fee rule vacated (\$10B revenue preserved). Basel III moving toward capital release (\$650–\$750B excess over four years). Open banking delayed and potentially fee-gated. BNPL regulation retreating federally (though states are filling the gap). The CCCA is the sole major regulatory threat, and its impact is hedged by Capital One's network ownership.

Fifth, **home equity is the single most under-penetrated product opportunity** — \$11.5 trillion+ in tappable equity at 0.41% utilization, with traditional banks pulling back and fintechs (Figure) proving digital-first models work. The absence of GSE secondary market infrastructure means this remains a balance-sheet-intensive business that favors deposit-rich universal banks and super-regionals. For any institution seeking near-term consumer lending growth with favorable credit characteristics, home equity offers the best risk-adjusted opportunity in the current environment.